FJ 10310/63

CONFIDENTIAL.

British Consulate,
Tamsui,
Formosa.

547/8.1/52.

11th March, 1952.

FJ10315/59. FJ10116/60

Sir,

I have the honour to refer to your telegram No. 37 to Tamsui about the Japanese Peace Treaty. You will already have received my telegram No. 33, which gave a summary of the position on the 4th March. I now submit a fuller report, covering the period from the publication of Yoshida's letter to Dulles, until the 9th March. A summary of the sequence of events is given in the attached diary.

2. You will appreciate that it is difficult to obtain reliable information as to the progress of the negotiations. The Chinese press is muzzled, except for extremely guarded statements and the expression of extremist Kuomintang sentiments regarding possible affronts to their national status and dignity. The Japanese press correspondents appears to be being used as a political weapon, sometimes to sooth and sometimes to shock, Chinese opinion, and the Americans are understandably, extremely wary of giving away in advance any information which might indicate that the Japanese were intending to act in a way contrary to British policy or interests. I must, therefore, emphasise that my conclusions are largely conjecture.

3. It seems, however, that the Japanese came to Taipei with the intention of signing a limited treaty with the Nationalist Government as the "de facto" authority in control of Formosa, in accordance with the Yoshida letter and - where applicable - conforming generally to the terms of the San Francisco multilateral treaty. There are, however, a number of conflicting forces in the background which are profoundly affecting their approach to the negotiations and possibly account for their sudden changes of front. Most powerful of these is their desire to keep on good terms with their benefactor, America, and not to take any action which would jeopardise the ratification of the multilateral treaty in the Senate. Then, they do not wish to give offence to us and their resistance to Chinese demands to make the effectuation of the bilateral treaty simultaneously with or earlier than the multilateral treaty, probably

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Her Majesty's
Principal Secretary of State
for Foreign Affairs,
Foreign Office,
London.

Copied to:-

U.K.L.M. Tokyo.
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Chancery, Singapore.

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springs from this desire. Then again, they wish to keep the door open for a trade agreement or understanding with the Central People's Government, and lastly, the Chinese pose as the victorious nation, causes deep, though suppressed, resentment, which at times makes itself felt through otherwise unaccountable obstinacy over minor points. In addition, their hands are tied in certain questions by the provisions of the San Francisco treaty.

4. The Chinese attitude has been governed partly by the Kuomintang desire to recover their self-esteem after their political failure to participate in the San Francisco treaty, and partly by suspicion of Japanese good faith and intentions. The former has led to the demand for the inclusion of many face-saving clauses, which present the Japanese with legal and technical problems which are extremely difficult to solve satisfactorily. Included in such problems are the question of Nationalist sovereignty over continental China, the status of Formosa and the Pescadores, reparations for damage on the mainland and the date of commencement of the war. The latter has been enhanced by provocative statements by Yoshida and other politicians, which seem calculated to add difficulties to the negotiations.

5. Dr. Yeh's own views are moderate and, left to himself, he would no doubt be able to negotiate a treaty satisfactory to both sides. But his hands are tied by Kuomintang control. Behind the scenes the all-powerful 12-man steering committee keeps the tightest control over the negotiations. This committee is backed by the extremely vocal Legislative Yuan and National Assembly, both of which bodies now consist almost entirely of Kuomintang extremists, the more moderate sections either having remained in China or are now living in Hong Kong ormother "neutral" territory. Nevertheless, the Nationalists are desperately anxious to conclude a treaty, and for this reason alone, it is probable that, if it comes to a show-down, wiser counsels will, in the end, win the day against the more vocal extremists. The Americans are also playing an important part behind the scenes, and their advice is continuously sought and given.

6. The Japanese, too, desire a settlement. They seem, however, to be deliberately adopting delaying tactics and the following points are cited in support of this conclusion:-

(a) Kimura's apparently deliberate misinterpretation on his return to Tokyo on 19th January, of Dr. Yeh's initial message to Yoshida, in spite of the text having been given him in three languages.

(b) The sudden presentation on 2nd March of an alternative Japanese draft which bore little resemblance to the San Francisco treaty.

(c) Yoshida's and other politician's statements in the Diet, which almost seem calculated to create a difficult atmosphere for the negotiations.

/ (d)

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(d) The unexpected and unexplained publication in Tokyo of the text of the Chinese draft, although this, of course, may have been nothing more than a newsman's scoop, and may not be genuine.

The reasons for these delaying tactics are obscure, but possibly (as suggested in my telegram No. 33 to Foreign Office), the Japanese wish to prolong the negotiations and their own subsequent ratification, long enough to enable sufficient other countries to ratify the San Francisco treaty to allow it to become effective. This would avoid having to face up to the difficulty of the Chinese demand that the date of effectuation of the treaty should be simultaneous with or earlier than that of the multilateral treaty.

7. To sum up the present position, it seems that both sides genuinely desire to reach an agreement and that in the end, a treaty will, therefore, be signed. In the meantime, however, the Japanese are playing for time and the Chinese Kuomintang extremists are pressing for the inclusion of a number of face-saving clauses which have become a formidable obstacle to agreement. In view of the meagre information available about the actual negotiations and the many political pressures operating on both sides, I do not feel competent to give a useful estimate as to how long the negotiations will continue.

I have the honour to be,
with the highest respect,
Sir,
Your most obedient,
humble servant,

E.H. Jacobs-Larkcom

(E.H. Jacobs-Larkcom)
Consul.

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